Trigger index — Paper 6 IBS

One line per past question. Read a line as: **when the case gives you THIS → go HERE → apply THIS rule.** Page column is blank: fill it with the page in *your* copy of the book (ICAI SM / Bare Act / Digest). Source column = sitting and question, so you can go back and practise it.

Legend: SM = ICAI Study Material. BA = Bare Act. Dig = Case Study Digest.

Sheet 1 — GST & Customs

Trigger (what the case gives)	Go to	Rule	Page	Src
service done · advance received before a rate change · invoice issued after	CGST s.14 time of supply on rate change	2 of 3 events (supply / invoice / payment) before change → old rate applies		J26 1.5
unregistered buyer · goods delivered to a third party at another address	IGST s.10(1)(ca) bill-to/ship-to	unregistered recipient → place of supply = delivery address on invoice		J26 1.5
dept intimates short payment before SCN · company pays part + 15% penalty · SCN still issued	CGST s.74(5)–(8)	pre-SCN: full tax + interest + 15% penalty → no SCN; shortfall → SCN for balance. Post-SCN remedy: pay within 30 days + 25% penalty → proceedings end		J26 1.6
trust runs residential yoga/meditation camp with lodging · rents community hall · hires security & housekeeping	Exemption Notif. 12/2017 (charitable); RCM Notif. 13/2017	yoga/spirituality camp = charitable → exempt; hall rental by trust > ₹10,000/day taxable; security services by body corporate → no RCM; manpower by proprietorship → no RCM on trust unless registered		J26 3.4
fee paid to independent directors · ITC on GTA invoices · GST paid via bank remittance · ITC on machinery	RCM Notif 13/2017 entry 6; s.16 ITC	director (non-employee) fees → RCM on company; GTA 5% with no ITC to GTA, recipient RCM; ITC on capital goods allowed if used in business		J26 4.5
price not the sole consideration (goods given in kind) · parties related or not	CGST s.15 + Rule 27	not sole consideration → (a) open market value, else (b) money + money-value of non-monetary part		J26 4.7
supply to SEZ / merchant exporter · goods sent under bond/LUT · bank guarantee	IGST s.16 zero-rated; Rule 96A LUT; Notif. 41/2017 merchant export @0.1%	SEZ supply = zero-rated; LUT needs no BG; merchant-export 0.1% needs registered buyer + export in 90 days		J26 5.1
FOB in foreign currency · several exchange rates (RBI / CBIC / BoE date / arrival date) · BCD rate changed between BoE and arrival · freight, insurance, agent commission	Customs s.14 (value), s.15 (rate), Valuation Rules r.10	exchange rate = **CBIC rate on bill-of-entry date**; duty rate = rate on **later** of BoE / entry inwards; add freight (actual, cap 20% FOB), insurance (actual or 1.125%), buying-commission excluded but selling-agent commission included; then BCD → SWS 10% of BCD → IGST on (value + BCD + SWS)		M26 1.1
stock destroyed in fire · ITC already claimed · CSR purchases with ITC claimed · machinery destroyed	CGST s.17(5)(h), s.17(5)(fa)	ITC on goods lost/destroyed/gifted → blocked, reverse; CSR expenditure ITC blocked (from 1-Oct-23); capital goods destroyed → reverse ITC on remaining useful life (r.44)		M26 1.4
sponsorship of event by a company · supplier is a club/ body	RCM Notif 13/2017 entry 4	sponsorship to a body corporate / partnership → **recipient** pays under RCM		M26 2.3
ITC claimed in the month of invoice but goods received next month · ITC on outdoor catering for dealer event · gifts to employees	s.16(2)(b), s.17(5)(b), Sch I para 2, s.50, s.74A	ITC only when goods **received**; catering blocked unless for onward catering/ composite supply; employee gifts ≤ ₹50k not supply but ITC on gifts blocked; interest 18% on *utilised* wrong ITC from utilisation date		M26 2.8
import procedure "in sequence": entry inwards, IGM, bill of entry, assessment, out-of-charge, warehousing	Customs s.29–31, 46, 47, 59–60	IGM → entry inwards → bill of entry (home consumption/warehousing) → self-assessment → duty → out-of-charge; warehousing BoE then ex-bond BoE		M26 3.4
airline: meals on board · PSF / UDF collected · ITC on catering	Composite supply s.2(30), s.8; pure agent r.33	on-board meal = composite with transport as principal → ITC on catering allowed; PSF/UDF collected as pure agent → excluded from value		M26 5.4
importer wants duty-free inputs · export obligation · supplies made to SEZ instead of physical export	FTP Advance Authorisation (ch.4)	AA available to manufacturer-exporter; supply to SEZ counts as deemed export for AA **only** if paid in free foreign exchange; otherwise EO not fulfilled		S25 1.3

Trigger (what the case gives)	Go to	Rule	Page	Src
supplier not paid within 180 days of invoice · ITC was availed · interest?	CGST s.16(2) 2nd proviso, Rule 37, s.50	reverse ITC proportionate to unpaid value in the GSTR-3B after 180 days; interest 18% from date of availing; re-avail on payment, no time limit		S25 1.8
broker / stock-exchange services to a registered client · invoice shows wrong state	IGST s.12(12) (financial & stock-broking)	place of supply = **location of recipient** on supplier's records; wrong-state invoice → ITC not eligible to recipient		S25 2.5
exporter wants export warehouse · FTP benefits · deemed exports · EPCG	FTP ch.4–5, 7	export warehouses permitted (Customs Circular); EPCG 6× duty saved EO in 6 years; deemed export benefits for supply to EOU/AA/EPCG holders		S25 3.5
multi-location unit · purchases include employee transport, canteen, works contract, motor vehicles · "how much ITC"	CGST s.17(5)(a)–(d)	motor vehicle ≤13 seats blocked; canteen/transport blocked unless **statutorily obligatory**; works contract for immovable property blocked unless for P&M or further WCS		S25 4.5
imported goods warehoused · removed after 90 days · "duty and interest"	Customs s.59, 60, 61, 72, 47	interest u/s 61(2) at 15% from expiry of 90 days to date of payment; duty at rate on date of ex-bond BoE; bond = 3× duty		S25 5.7

Sheet 2 — Direct Tax

Trigger	Go to	Rule	Page	Src
charitable trust · registration expiring · form 10AB · CA certification?	s.12A(1)(ac), Rule 17A	renewal application ≥ 6 months before expiry; form 10AB electronic with self-certified copies; no CA certificate needed		J26 3.5
trust income: grants · voluntary contributions · corpus · application of income · accumulation	s.11, 12, 13, 115BBI	apply 85% in year; 15% free accumulation; corpus donations exempt if invested u/s 11(5); anonymous donations 30% u/s 115BBC		J26 3.7
specified business (hotel / cold chain / warehouse) · capital expenditure · asks "investment-linked deduction"	s.35AD	100% of capex excluding land/goodwill/financial instrument; **Nil if company opted s.115BAA/BAB** or business not notified		J26 4.2
asset bought on foreign-currency loan · exchange loss at year-end · unpaid	ICDS VI + s.43A	s.43A adjusts actual cost **only on actual payment**; ICDS VI: fixed asset non-monetary → no restatement; depreciation on cost as adjusted		J26 5.8
Tea / coffee / rubber business · Tea Development Account · withdrawal · part unused · spent on office / land · land later sold	s.33AB	deduction = lower of deposit or 40% of profits; withdrawal not used for scheme purpose within the year → taxable business income; asset bought from withdrawn amount sold within 8 years → cost taxed as business income in year of sale; land gain = LTCG separately		M26 1.3
opening WDV · asset destroyed, insurance received · new asset bought · "put to use" dates (some < 180 days) · solar / computers / office furnishing	s.32, s.43(6), s.32(1)(iia)	block WDV + additions − moneys received for destroyed asset; additional depreciation 20% on new P&M (not office/furniture/computers in office); < 180 days use → half rate (and balance 10% next year); solar is P&M		M26 1.8
company proposes buy-back · "consequences for shareholders and company"	s.115QA (repealed), s.2(22)(f), s.46A, s.10(34A) from 1-Oct-24	buy-back after 1-Oct-24: whole consideration = **deemed dividend** in shareholder hands, cost = capital loss; company no BBT; TDS u/s 194 at 10%		M26 2.7
appeal pending at CIT(A) · CIT invokes s.263 on other issues · appeal at ITAT · "course of action"	s.246A, s.263, s.253, s.254	s.263 cannot touch matters decided in appeal (Explanation 1(c)) but can on other issues; ITAT appeal within 60 days; stay application; cross objections 30 days		M26 3.8
TDS on salary · employee's evidence for exemptions · "assessee in default" · reimbursements	s.192, s.201, Rule 26C Form 12BB	employer relies on Form 12BB evidence → not assessee in default; perquisites valued per Rule 3; tax on non-monetary perqs can be paid by employer u/s 192(1A)		M26 5.3
airline pays lease rent to IFSC unit · engine lease to foreign company · landing & parking charges short-deducted	s.10(4F), s.194-I, s.195, s.194C; CBDT circ. on landing charges	aircraft lease rent to IFSC lessor exempt u/s 10(4F) → no TDS; engine lease to NR → s.195 / DTAA; landing & parking = contract (s.194C 2%) not rent (s.194-I) per *Japan Airlines* SC		M26 5.8
tax audit · list of issues · "which go in Form 3CD"	s.44AB, Form 3CD clauses 21, 22, 26, 31, 34	disallowances (40A(3), 43B), loans > ₹20k otherwise than by cheque, TDS compliance, MSME interest → reportable; purely Ind AS presentation issues → not		S25 1.5
foreign parent holds ≥ 26% · sister company · "associated enterprise" · AO refers to TPO	s.92A, 92B, 92CA	≥ 26% voting power (direct or through common parent) → AE; AO may refer to TPO with PCIT approval; TP applies to international transactions even via group		S25 2.2
"most appropriate method" · which factors	Rule 10C	nature of transaction, availability/reliability of data, degree of comparability, extent of adjustments, reliability of assumptions		S25 2.6
dividend to residents & non-residents · professional fees · rent · contractor · "TDS on each"	s.194, 195, 194J, 194-I, 194C	dividend resident 10% (> ₹5k), NR 20% + DTAA; fees 10% (2% technical); rent 10%; contractor 1%/2%; check thresholds		S25 4.6
"book profit u/s 115JB" · Ind AS company · OCI items · provisions · deferred tax	s.115JB(2A)–(2C)	start from Ind AS P&L; add provisions, DT, dividend-free income; adjust OCI items that will never reclassify; transition adjustments over 5 years		S25 5.8

Sheet 3 — Corporate & Economic Law

Trigger	Go to	Rule	Page	Src
board count close to Articles cap · plan to add directors beyond 15	CA s.14 + s.149(1) proviso	> 15 directors needs **special resolution**; cap in Articles → alter Articles by special resolution; no ROC approval		J26 1.1
scheme of arrangement · NCLT · "what from auditor"	CA s.230(7) proviso	auditor's certificate that accounting treatment in scheme conforms to AS u/s 133		J26 1.7
a person holds many directorships · some private subsidiaries · some dormant · listed company	CA s.165 + SEBI LODR Reg 17A	s.165: max 20, of which ≤10 public (private subs of public count as public; dormant excluded). LODR: ≤7 listed entities; WTD ≤3 as ID		J26 2.4
trust / NGO receives money from abroad · bank account · annual return · NRI donor	FCRA 2010 s.11, 17, 18	receipts only in FCRA a/c SBI New Delhi Main Branch; annual return FC-4 by 31 Dec; NRI (Indian citizen) is **not** a foreign source		J26 3.1
trust wants to invest abroad (ODI)	FEMA (Overseas Investment) Rules 2022	registered trust may make ODI if trust deed permits & trustees approve; no Central Govt permission unless in sensitive sector		J26 3.3
director remuneration · company has loss / inadequate profit · non-exec paid fees	CA s.197 + Schedule V Part II	inadequate profits → Sch V limits by effective capital (or SR for more); non-exec/ID: sitting fees + professional fees only if RPT-approved; otherwise not entitled		J26 4.1
transaction between two subsidiaries / group entities · "% of turnover" · audit committee	SEBI LODR Reg 23; CA s.188	material RPT = > ₹1,000 cr or 10% consolidated turnover → shareholder approval; all RPTs → audit committee; subsidiary RPTs > 10% of subsidiary turnover also		J26 5.2
holding crosses 90% · remaining minority · registered valuer price · highest price paid in 12 months · some minorities negotiate higher	CA s.236 + Rule 27	offer price = higher of valuer's price and highest price paid in last 12 months; extra paid to some minorities → shared **pro-rata with all**; amount deposited in separate bank a/c, disbursed within 60 days, kept ≥ 1 year		M26 1.5
all directors vacate / none left · promoter wants to appoint	CA s.167(3), s.168(3)	if all directors vacate, promoter (or in absence, Central Govt) appoints required number of directors until GM appoints; promoter can't appoint on his own otherwise		M26 3.1
MD remuneration above Sch V limits · company has loan default / NCDs	CA s.197 + Sch V Part II Sec. II proviso	special resolution needed; if default in debt repayment → **prior approval of lenders / NCD holders** before SR		M26 3.2
scheme meeting votes: number of members for/against · value for/against · "requisite majority?"	CA s.230(6)	majority in **number** representing **three-fourths in value** of those present and voting		M26 4.2
acquirer > 90% after scheme · dissenting shareholders · NCLT dismissed their application · some still hold	CA s.235	after dismissal, acquirer is **bound** to acquire remaining shares at valuer's price; deposit consideration with transferor co. which pays dissenters		M26 4.4
sitting fee increase · different fee for ID / women director	CA s.197(5), Rule 4 of MR Rules	max ₹1 lakh per meeting; fee for IDs and women directors **not less than** other directors — can't pay them less		M26 5.5
CFO is a CA · company receives environmental non-compliance notice · "CFO's liability"	CA s.2(19), 134(5), 166 + SA 250	KMP must investigate, report to TCWG, document; not personally liable for the environmental breach itself		S25 1.1
payment to a director for licence / IP · register of contracts · CARO	CA s.188, 189; CARO 2020 cl.(xiii)	if arm's-length and ordinary course → s.188 not attracted, no register entry; else board approval + register + CARO reporting		S25 1.2
company under CIRP / restructuring wants ECB · promoter suggests refinancing via ECB	FEMA ECB framework (RBI MD)	entity under CIRP/restructuring can raise ECB only if resolution plan permits; ECB for repaying domestic rupee loans allowed only from specified lenders/for specific ends		S25 1.7
sale to related party · turnover ₹610 cr · "10% of turnover" · which approval	CA s.188(1) + Rule 15	> 10% of turnover → shareholders' resolution; below → **board resolution at a meeting** (not circulation); audit committee for listed		S25 2.1
commission to foreign agent · "FEMA remittance"	FEMA Current Account Rules Sch III; RBI MD on exports	commission on exports up to 12.5% of invoice value permitted via AD without RBI approval; beyond → AD may approve with justification		S25 3.4
appointment of woman director · listed vs unlisted · vacancy filling · time limit	CA s.149(1) + Rule 3; LODR 17(1)(a)	listed / paid-up ≥ ₹100 cr / turnover ≥ ₹300 cr → ≥ 1 woman director; vacancy filled within 3 months or next board meeting, later; top 1000 listed → independent woman director		S25 4.1

Trigger	Go to	Rule	Page	Src
company with high monetary assets wants IPO · profitability · net tangible assets	SEBI ICDR Reg 6(1)	net tangible assets ≥ ₹3 cr each of 3 yrs (≤ 50% monetary unless committed), avg operating profit ≥ ₹15 cr in 3 of 5 yrs, net worth ≥ ₹1 cr each of 3 yrs; name change rule		S25 5.4

Sheet 4 — Financial Reporting (Ind AS)

Trigger	Go to	Rule	Page	Src
preference share · fixed coupon · convertible into N shares · redeemable after N years · market rate given	Ind AS 32 compound instrument	liability = PV(coupons) + PV(redemption) at market rate; equity = issue price − liability (residual)		J26 1.4
forward contract to buy more shares · currently below 50% · control date? · derivative?	Ind AS 110 B47–B50 + Ind AS 109	potential voting rights count only if **substantive**; forward to acquire shares is a derivative at FVTPL until settled; NCI split on actual holding		J26 2.2
new ESOP granted (by parent/other) on condition old ESOP surrendered	Ind AS 102 B42–B44 replacement award	treat as **modification**: continue original grant-date expense + incremental FV (new FV − old FV at replacement date) over remaining vesting		J26 2.7
asset bought below fair value · spares / standby equipment · FV disclosure?	Ind AS 16 + Ind AS 2	recognise at **cost** not FV; spares = inventory unless they meet PPE definition; FV disclosure not required for cost-model PPE		J26 4.4
revaluation gain · later disposal of asset	Ind AS 16 para 39–41	gain → OCI (revaluation surplus); on disposal → transfer **directly to retained earnings**, never through P&L		J26 5.5
"is this accounting policy material to disclose"	Ind AS 1 para 117–117E	policy info material if: changed during period, chosen among alternatives, developed under Ind AS 8, complex, or involves significant judgement		J26 5.6
machine bought in foreign currency · unpaid at year-end · two year-ends · "exchange gain/loss as per Ind AS"	Ind AS 21 para 23, 28	payable = monetary → restate at closing rate each year-end; difference → P&L; PPE (non-monetary) stays at transaction-date rate		M26 3.5
acquisition · fair values vs tax bases of acquired assets · "deferred tax and goodwill"	Ind AS 12 para 19, 66; Ind AS 103	DTL/DTA on FV − tax base of each asset (not on goodwill itself); goodwill = consideration − (net FV assets − net DTL)		M26 3.6
segment / division · by-products · scrap · "closing stock"	Ind AS 2 para 14	by-products/scrap at **NRV deducted from cost of main product**; joint products allocated rationally; closing stock lower of cost / NRV		M26 4.6
lessee decides to exercise extension option after some years · "journal entry" · PV factors	Ind AS 116 para 20–21, 39–43	reassessment (not modification): remeasure lease liability at **revised discount rate** for remaining + extended term; adjust ROU asset by same amount		M26 5.7
interim FS (condensed) · a later change affects the period · "amend?"	Ind AS 34 + Ind AS 10	condensed form doesn't exempt from adjusting events; adjust if the event gives evidence of year-end condition		S25 1.4
sports franchise bought · fixed fee · player contracts · stadium lease · "how structured"	Ind AS 103, 38, 116, 110	franchise right = indefinite-life intangible (impairment-tested, not amortised); player contracts = finite-life intangible; stadium = ROU; consolidate the SPV		S25 2.8
sitting fees to a non-exec director · loans to relatives of KMP · "Ind AS 24 disclosure"	Ind AS 24 para 9, 17, 18	non-exec directors are KMP; disclose compensation incl. sitting fees; relatives of KMP are related parties; disclose by category		S25 3.2
PPE disposal · accounting policy · presentation · IFC · calculation	Ind AS 16 para 67–71	derecognise on disposal/no future benefit; gain = net proceeds − carrying amount, in P&L (not revenue); controls are not an accounting policy		S25 3.3
machinery lease in foreign currency · initial & subsequent measurement · presentation	Ind AS 116 + Ind AS 21	lease liability = PV of payments (monetary → restate at closing rate, diff to P&L); ROU at historical rate, depreciated; present separately or disclose line items		S25 3.8
acquisition: agreement date vs approval date vs control date · earn-out in shares or cash	Ind AS 103 para 8–9, 39–40	acquisition date = date **control obtained** (often closing, can be earlier if control passes); contingent consideration settled in cash/variable shares = **financial liability** at FV		S25 4.4
loyalty / gold-card scheme · points · stand-alone selling prices · "income and contract liability"	Ind AS 115 para 22–30, B39–B43	allocate consideration between goods and points on relative SSP (points at FV × expected redemption); points = contract liability until redeemed		S25 5.5

Sheet 5 — AFM

Trigger	Go to	Rule	Page	Src
"strategic financial management" · resource allocation · "limiting factors"	SM AFM ch.1	limiting factor = **capital availability** only; mode of financing / opportunities / earnings potential are not		J26 1.3
book value per share · ROE · retention % · Ke → "price today"	Gordon & Walter	EPS = BV × ROE; DPS = EPS × payout; g = ROE × b; Gordon P = $D_1/(Ke-g)$; Walter P = [D + (r/Ke)(E−D)]/Ke		J26 1.8
two companies, one wants fixed one floating · OTC vs exchange · bid-ask vs brokerage · marking to market	Interest rate swap vs futures	swap = OTC, bid-ask, no MTM; futures = exchange, brokerage, daily MTM; comparative advantage decides who borrows fixed		J26 2.3
bonds with different maturity / coupon / YTM · "interest-rate risk" · "price over time"	Bond duration & pull-to-par	longer maturity/lower coupon → higher IRR; premium bond price falls to par, discount bond rises		J26 3.2
importing first-of-its-kind equipment · "identify risks"	Risk types	operational, technology, currency, political/regulatory, counterparty		J26 3.8
CFO forecasting exchange rate from past data · "technical" · range estimates	Exchange rate forecasting	technical = past price patterns, point not range estimates, uses spot history; fundamental = macro variables		J26 5.3
"parameters to identify currency risk"	Currency risk factors	government action, nominal interest rate, inflation rate, natural calamities, war/ political, change in expectations		J26 5.7
foreign-currency payable · spot & forward · borrow / deposit rates both countries · LC credit + commission · "most cost-effective hedge"	Forex hedging: forward vs MMH vs LC	forward cost = amount × fwd; MMH = PV at foreign deposit rate, borrow INR at Indian borrowing rate (compound per terms); LC = foreign credit interest + commission, converted at forward; pick lowest rupee outflow		M26 1.7
capitalisation of earnings · capitalisation rate given · adjusted profits	Valuation — capitalised earnings	value = maintainable future earnings ÷ cap rate; adjust for non-recurring items; question ambiguous → ICAI accepted two options		M26 2.1
foreign project · output units · selling price in USD · several exchange-rate scenarios · "CFAT and NPV"	International capital budgeting	compute CFAT in foreign currency per scenario, convert at scenario rate (or discount in FC and convert PV); include tax, depreciation shield, WC		M26 3.7
"6 × 9 FRA" · reference rate at settlement · notional · 360-day year	FRA settlement	settlement = N × (ref − FRA rate) × (days/360) ÷ (1 + ref × days/360); buyer gains if ref > FRA		M26 4.1
retire existing bonds and issue new · call premium · flotation costs · tax rate · PVIFA	Bond refunding NPV	PV of after-tax interest saving over remaining life − after-tax net initial outlay (call premium net of tax, new flotation, overlap interest); discount at after-tax cost of new debt		M26 5.2
CFO wants to redeem bonds early · "when feasible" · "method" · "extra interest"	Bond refunding	feasible only if bonds have **call** feature and rates have fallen; use NPV of refunding; overlap interest during call notice period is an extra cost		S25 2.7
export receivable · forward · MMH · **option premium** · leave unhedged · "best choice"	Forex hedging incl. options	forward = amount × bid forward; MMH: borrow FC now (PV), convert at spot bid, invest INR; option: strike × amount − premium (FV of premium at borrow rate); unhedged = expected spot; choose max INR inflow		S25 3.7
exposure in a currency with no direct INR quote (e.g. Naira) · USD quotes given · forward cover · later spot	Cross rates + hedging evaluation	cross rate = (INR/USD) ÷ (Naira/USD); expected loss = exposure × (spot − expected); compare forward vs actual later spot to judge cover ex-post		S25 4.7
merger · exchange ratio at market prices · "post-merger EPS"	M&A — exchange ratio	ratio = MPS target ÷ MPS acquirer; new shares = target shares × ratio; EPS = combined earnings ÷ (old + new shares)		S25 5.2

Sheet 6 — Audit & Ethics

Trigger	Go to	Rule	Page	Src
EQCR named · listed entity · engagement partner consults him	SA 220 + SQC 1	EQCR **reviews** plan, materiality, consultations, conclusions; never participates in or decides for the team		J26 1.2
quarterly / interim results · "limited review" · which procedures	SRE 2410	procedures = inquiry + analytical; understand entity & controls; **no** corroboration / tests of controls / confirmations unless matter arises		J26 2.5
during limited review auditor notices obsolete inventory	SRE 2410 para 22–24	may perform additional procedures when a possible material misstatement comes to attention; unresolved → qualified/adverse conclusion in review report		J26 2.8
bank / lender asks auditor for working-paper extracts	CA Act Sch II Part I cl.1; SA 230 A2	working papers are auditor's property; disclose only with client consent or legal requirement; duty survives engagement		J26 4.8
auditor's report on **summary** financial statements · opinion wording	SA 810	opinion = summary FS are **consistent with / fair summary of** audited FS; not "true and fair"		J26 5.4
confirmations: replies from e-mail IDs not on record · zero-balance parties · client itself obtained letters · cash-settled high-volume accounts	SA 505 para 10–12, SA 240, SA 260, SA 705	unreliable response → alternative procedures (subsequent receipts/payments); client-obtained letters are **not** external confirmations; cash settlements → fraud risk, communicate to TCWG; inability to obtain evidence → qualified if material not pervasive		M26 1.2
auditor drafts letter to TCWG / audit committee · "UDIN needed?"	ICAI UDIN FAQs	UDIN per document, not per year; required for all certificates & reports, including communication to TCWG? → **not** required for mere management letters/TCWG communication; generated within 60 days		M26 3.3
qualified opinion on full FS · later asked to audit one element (e.g. receivables) · publish together?	SA 805 para 15–17	can give unmodified opinion on element if separate engagement and element not affected; report on element must not be published with full FS report if that would undermine; if modification on full FS **relevant** to the element → modify		M26 4.3
summary FS report dated after full FS report · full FS had qualified opinion	SA 810 para 17–18	state that summary FS do not reflect events after the date of the full FS report; describe basis for the modified opinion on full FS		M26 4.5
asked to audit a single element under a special-purpose framework · "acceptance, planning, performance"	SA 805 + SA 800	acceptability of framework; whether element is separable; materiality for the element; apply all relevant SAs; form of opinion; reference to full FS report		M26 4.7
new auditor · opening inventory · predecessor's evidence · "if evidence not obtained" · "if misstated"	SA 510 para 5–7, 10–12	procedures: observe current count & roll back, review predecessor's papers, prior-period records; no evidence → qualified/disclaimer; misstated & uncorrected → qualified/adverse		S25 1.6
fraud not caught though CAATs used · "why"	CAATs (SA 240, SA 330 app.)	CAATs limited by data quality, parameters set, scope; they test 100% of data only within defined rules; cannot detect collusion/override by themselves		S25 4.2
CA examines projected cash flows / profitability for a bank · UDIN · opinion type · accuracy	SAE 3400 + UDIN	UDIN mandatory; opinion = negative assurance on assumptions + whether prepared consistently with them; accuracy of projections **not** vouched; state intended use & caution		S25 5.1

Sheet 7 — Costing & Strategy

Trigger	Go to	Rule	Page	Src
matrix of problems vs lean tools (standardised work, JIT, 5S/visual, value stream)	Lean / JIT chapter	standardised work ↔ uniform procedures; JIT ↔ produce only as needed; 5S ↔ search-free arrangement; VSM ↔ map steps, find NVA		J26 2.1
quality cost figures · complaints from production / marketing / HR · "draft a report"	Cost of quality (4 categories)	prevention, appraisal, internal failure, external failure; high non-conformance share → move spend to prevention/appraisal; report format: heading, findings, recommendations		J26 2.6
NGO / trust · "measure performance" · "value for money"	VFM framework	Economy, Efficiency, Effectiveness (+ Equity, Ethics) — define each, apply to inputs → outputs → outcomes		J26 3.6
"bottom lines" · sustainability	Triple bottom line	economic, environmental, social (people, planet, profit)		J26 4.3
TQM · make-vs-buy of an input · "primary activities"	Porter's value chain	inbound logistics, operations, outbound, marketing & sales, service — state effect of in-house sourcing on each		J26 4.6
long company story · plantation / sourcing / channels / sustainability / customers · chairman attends "workshop" on canvas	Business Model Canvas (Osterwalder, 9 blocks)	key partners, activities, resources; value proposition; customer relationships, channels, segments; cost structure; revenue streams — one paragraph each from the facts		M26 1.6
units to produce next year · learning curve or cost behaviour · "expected total variable cost"	Learning curve / cost estimation	cumulative average time × units × rate; or high-low for variable cost; watch for step costs		M26 2.4
products waiting for QC · moving between buildings · 10% inspection · disorganised store	NVA activities (storing, moving, waiting, inspecting)	waiting ≠ storing: waiting = idle before next operation; eliminate moving/waiting/inspecting; implication: lead time ↓, cost ↓, may conflict with "artisanal" positioning		M26 2.5, 2.6
contradictory market reports · unique product · new country · "pricing strategy"	Pricing strategies	no competitor → skimming; price-sensitive market → penetration; uncertain reports → sequential/test pricing; consider costs, elasticity, entry barriers		M26 4.8
airline services · "Kano" · basic / performance / excitement / indifferent	Kano model	basic = expected (safety, on-time); performance = more is better (legroom); excitement = unexpected (free wifi, lounge); indifferent = no effect		M26 5.1
"align seven elements" · operational robustness · change	McKinsey 7S	hard: strategy, structure, systems; soft: shared values, skills, style, staff — map each to the facts and show interlinkage		M26 5.6
operating income change · "market size factor" · "product differentiation" · prices and quantities for two years	Strategic profitability analysis (growth / price-recovery / productivity)	growth component = (actual units − budgeted) × budgeted CM; market-size part = industry growth share of that; remainder = product differentiation (price-recovery)		S25 3.1
robots / AI replace manual work · "from the customer's view" · transformation / disruption / automation	Digital transformation types	automation = same task done by machine, no change in customer value → **automation**; disruption changes the market; transformation changes the business model		S25 2.3
BRSR disclosures · which principle violated · "inclusive growth"	BRSR / NGRBC 9 principles	P8 = inclusive growth & equitable development: CSR impact, displacement, local sourcing; map each disclosure to a principle		S25 2.4
"triple bottom line report" · list areas	TBL (economic, environmental, social)	economic: market, profit, suppliers; environmental: energy, waste, emissions; social: labour, community, safety — each with the case's facts		S25 3.6
new premium product · unique tech · high price kept high · "pricing policy"	Pricing policies	premium pricing (sustained high price for perceived quality) ≠ skimming (high then lowered); penetration = low entry price		S25 4.3
diversification into new product · "Porter's five forces with facts"	Five forces	entrants, substitutes, buyer power, supplier power, rivalry — one paragraph each using the case facts; conclude attractiveness		S25 4.8
objectives list · "which belong to the Balanced Scorecard"	BSC 4 perspectives	financial, customer, internal process, learning & growth; exclude objectives that are none of these (e.g. pure compliance)		S25 5.3

Trigger	Go to	Rule	Page	Src
budget vs actual profit · marginal costing · "reconciliation"	Variance analysis — reconciliation statement	budgeted profit → sales volume variance (CM basis) → sales price → material price/usage → labour rate/efficiency → variable OH → fixed OH expenditure (no volume variance under MC) → actual profit		S25 5.6